Business Management SL and HL · Set A · Paper 1

Worked mark scheme · 90 minutes · 30 marks

Award equivalent valid methods and conclusions. Apply the indicated mark allocation to each part. Credit consistent follow-through where the subsequent reasoning remains valid.

Section A · Operations and growth [20]

(a) **[2]**

Define the term private limited company.

1 mark · It is an incorporated business with separate legal identity and/or limited liability for shareholders.

1 mark · Its shares are held privately rather than offered to the public on a stock exchange.

(b) **[3]**

Calculate the percentage change in operating profit per delivery from last year to this year. Show your working.

1 mark · Profit per delivery changes from 72,000/80,000 = 0.90 to 75,000/100,000 = 0.75 CU.

1 mark · $(0.75 - 0.90)/0.90$ multiplied by 100.

1 mark · A decrease of 16.7%.

(c) **[3]**

Explain one conflict between two stakeholders that may result from signing the Northline contract.

1 mark · Identify two stakeholders, for example the founders and existing small shops.

1 mark · Growth rewards owners while priority collections could disadvantage small customers.

1 mark · Link the conflict to the 24-hour requirement or threatened delays.

(d) **[4]**

Explain one financial advantage and one financial disadvantage of the impact investor's offer to the founders.

1 mark · Equity avoids fixed interest or loan instalments.

1 mark · This protects cash when wash equipment or penalties cause unexpected costs.

1 mark · Selling shares dilutes the founders' claim to future profit.

1 mark · The 25% issue would share gains from growth with the new investor.

(e) **[4]**

Explain two ways job enrichment might improve staff retention at HarbourLoop.

1 mark · Give trained wash staff responsibility for quality decisions.

1 mark · Greater autonomy can increase satisfaction and reduce turnover.

1 mark · Give staff responsibility for training or planning team improvements.

1 mark · This develops skills and a promotion pathway that staff say is missing. Credit another two distinct applied mechanisms.

(f) **[4]**

Using the operating indicators, explain two reasons why the proposed 30% growth could put service quality under pressure.

1 mark · Timely returns fell from 94% to 86%.

1 mark · More deliveries could stretch box availability and make a 24-hour commitment harder.

1 mark · Nine wash staff left compared with four previously.

1 mark · Recruiting and training during expansion may reduce throughput or consistency. Accept other evidenced chains.

Section B · Option 1 [10]

(a) **[10]**

Discuss whether HarbourLoop should sign the exclusive contract as offered.

10 marks · Northline offers a 30% increase in volume and three years of demand, which could support investment. Lower fees and the fall in profit per delivery leave less cover for penalties. Late returns and staff departures threaten service to existing shops. A supported recommendation could seek a non-exclusive trial, staged volumes and a penalty cap. Acceptance is defensible with credible added capacity and an adequate contribution per delivery. The price and penalty schedule remain unknown. Use best fit across the response. 0 gives no creditable response. At 1–2, identify a relevant issue with little development. At 3–4, explain a point with limited case evidence. At 5–6, develop a relevant argument using case evidence. At 7–8, weigh competing arguments using specific evidence and reach a supported judgement. At 9–10, sustain a balanced case-specific judgement, explain a material limitation or condition and show how it affects the decision. Credit a different conclusion when the analysis supports it.

Section B · Option 2 [10]

(a) **[10]**

Evaluate the proposal to decentralize repair purchasing while retaining a common quality checklist.

10 marks · Local authority could reduce downtime and protect collection reliability. The pilot improved downtime by three days, but it covered only two supervisors in a quiet period. Inconsistent buying and quality failures could increase cost or compromise hygiene. A spending limit, approved suppliers and monthly quality checks would preserve control. Expand first at one busy depot and retain central approval for large purchases if costly errors emerge. Use best fit across the response. 0 gives no creditable response. At 1–2, identify a relevant issue with little development. At 3–4, explain a point with limited case evidence. At 5–6, develop a relevant argument using case evidence. At 7–8, weigh competing arguments using specific evidence and reach a supported judgement. At 9–10, sustain a balanced case-specific judgement, explain a material limitation or condition and show how it affects the decision. Credit a different conclusion when the analysis supports it.

End of mark scheme · 30 marks